

GNIOT Institute of Management Studies – PGDM (Batch 2023-25)**(TRIMESTER –IV) END TERM EXAMINATION, OCTOBER -2024****Sourcing and Vendor Management****[Time: 2 Hours]****[Maximum Marks: 60]****Following are the course outcomes of the subject: - Sourcing and Vendor Management**

CO	Course Outcome (CO)
CO1	To understand fundamentals of Sourcing, purchasing and materials management.
CO2	To understand various procurement models for different product categories.
CO3	To identify key elements of vendor management.
CO4	To understand the different supplier contract in sourcing management.

(Note- Faculty can add the more CO's as per their subject.)**SECTION-A****Attempt all parts of the following: (Short Answer Type Questions, do not exceed 150- 200 words)**

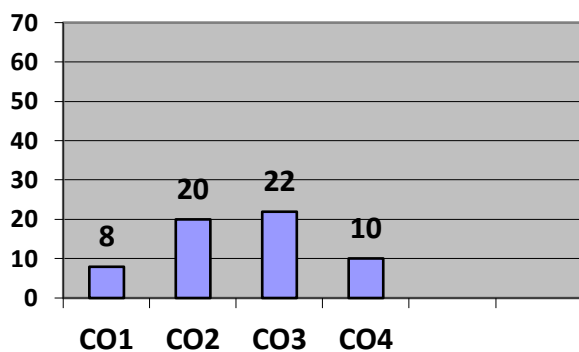
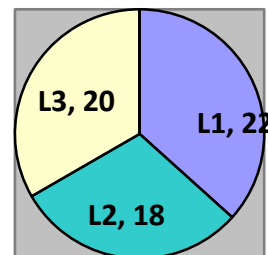
Q.1	Marks	COURSE OUTCOME	BLOOMS LEVEL
(A)	4	CO – 1	BL 2
(B)	4	CO – 1	BL 1
(C)	4	CO – 3	BL 1
(D)	4	CO – 3	BL 2
(E)	4	CO – 3	BL 2

SECTION-B**Attempt ANY TWO questions out of the following: (Long Answer Type Questions, do not exceed 300- 400 words)**

Q. No	Marks	COURSE OUTCOME	BLOOMS LEVEL
2 (A)	10	CO – 2	BL 2
2 (B)	10	CO – 2	BL 2
3 (A)	10	CO – 2	BL 1
3 (B)	10	CO – 2	BL 1

SECTION-C**Attempt all parts of the following: (Caselet / Numerical, do not exceed 300- 400 words)**

Q.4	Marks	COURSE OUTCOME	BLOOMS LEVEL
4 (A)	10	CO – 4	BL 3
4 (B)	10	CO – 3	BL 3

Course Outcome Wise Marks Distribution**L1 L2 L3****Bloom's Level wise Marks Distribution**

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GNIOT Institute of Management Studies – PGDM (Batch 2023-25)

(TRIMESTER – IV) END TERM EXAMINATION, OCTOBER - 2024

Sourcing and Vendor Management

[Time: 2 Hours]

[Maximum Marks: 60]

INSTRUCTIONS:

- (i) There are **THREE** sections in this question paper.
- (ii) Attempt questions from each section as per the directions.
- (iii) Make suitable assumptions wherever necessary.

SECTION-A

(Short Answer Type Questions, do not exceed 200 words)

Q.1. Attempt all parts of the following:

(5×4=20)

- (a) There is a difference between long term and short-term sourcing. Do you agree. Summarise with reasons.
- (b) A supplier is an essential components of the supply chain. What the characteristics of a good supplier.
- (c) Relationship is paramount in procurement. Do you agree. Also define different type of vendor relationships.
- (d) You have been assigned the task to complete and file a tender. Explain the process.
- (e) PO is the most important document in that is issued to the vendor. Why? Also explain the P2P process

SECTION-B

(Long Answer Type Questions)

Q.2. Attempt all questions of the following

(2X10=20)

- (a) Procurement positioning portfolio is a strong tool for determining the best sourcing strategy. Explain with reason.

OR

- (b) While sourcing products and services can be categories in different category. Define the category and their significance.

Q.3. (a) Rajesh wants to convince his manager that single sourcing is the best strategy to adopt. His manager Disagrees. Define the arguments on behalf of both.

OR

- (b) You a procurement manager for a textile company. Which strategy should you adopt for sole, Single or Multi sourcing.

SECTION-C

Q.4. Attempt all parts of the following:

(2×10=20)

You are buying plastic bottles from the manufacturer at the rate of rupees 6 per bottle. The same bottle is then sold to the final consumer at rupees 13 per bottle. The scrap value of the bottle is rupees 3. Following is the demand forecast for the upcoming season. Orders shall be in multiple of 1000

Demand	Probabilistic
12000	30%
15000	36%
18000	34%

Which of the following quantity shall be ordered, so that maximum profit is generated for the buyer.

- a. 10000 b. 13000 c. 17000 d. 19000

4(a) Solve the situation and determine what should be the order quantity if a BUYBACK contract is in place. The manufacturer has agreed to buy back the unsold inventory at rupees 3.

BHARAT Electronics Pvt. Ltd., a mid-sized consumer electronics manufacturing company in India, specializes in producing smart home devices like smart bulbs, plugs, and security cameras. To remain competitive and maintain high-quality products, the company has implemented a comprehensive sourcing and vendor management strategy. The Procure-to-Pay (P2P) process at BHARAT Electronics is central to this strategy, ensuring seamless coordination from sourcing raw materials to making final payments to vendors. The P2P process begins with identifying material requirements through collaboration between the procurement team and the production and R&D departments. This is followed by extensive vendor research and pre-qualification. Potential suppliers are assessed through a Request for Information (RFI) process, and shortlisted vendors receive detailed Request for Proposal (RFP) and Request for Quotation (RFQ) documents. This stage includes evaluating vendors based on cost, quality, lead time, and service capabilities using a weighted scoring model to ensure an objective selection process.

After selecting a vendor, the next step involves negotiating contract terms, covering pricing, delivery conditions, and quality standards, followed by vendor onboarding, where new suppliers are trained on BHARAT Electronics' compliance requirements and processes. Once the contract is in place, a Purchase Requisition (PR) is created when a department confirms the need for materials. The procurement team then generates a Purchase Order (PO) that includes item details, quantities, prices, and delivery schedules, which is sent to the vendor for confirmation. The PO undergoes an internal approval process to ensure it aligns with the company's budget and policies. Upon vendor acknowledgment of the PO, the order fulfillment phase begins. The procurement team tracks the order using a centralized ERP system to monitor timelines and address any delays. When materials arrive, the quality control team inspects them against specifications before generating a Goods Receipt Note (GRN), confirming receipt of acceptable goods. The subsequent stage involves invoice verification and payment. The vendor submits an invoice, which is matched with the PO and GRN through a three-way matching process conducted by the finance team. Once verified, payments are processed according to the agreed terms.

BHARAT Electronics also prioritizes vendor performance evaluation and relationship management. Vendors are periodically assessed based on key performance indicators such as delivery timeliness, quality consistency, and responsiveness. Feedback sessions are held to address any performance issues, and high-performing vendors are recognized as strategic partners, receiving priority in future sourcing initiatives. Despite a robust process, BHARAT Electronics faces several challenges. Fluctuating raw material costs pose a significant issue, which the company addresses by implementing a dynamic pricing model with vendors, allowing periodic price adjustments based on market trends. Variability in supplier lead times is managed through buffer stock policies and dual sourcing strategies, ensuring a consistent supply of critical components. To maintain high-quality standards across multiple suppliers, the company has standardized quality control procedures and conducts regular audits, imposing penalties for non-compliance. Additionally, the complexity of invoice processing and payment delays was streamlined by integrating the P2P process into a digital procurement platform, which has reduced invoice processing times by 40%.

BHARAT Electronics' structured P2P process and proactive vendor management strategies have enabled it to maintain a reliable and cost-effective supply chain. By leveraging technology and cultivating strategic vendor relationships, the company has improved operational efficiency, reduced costs, and ensured high product quality. This case study underscores the significance of a well-defined P2P process in achieving supply chain excellence and offers valuable insights into best practices for sourcing and vendor management.

4(b) Answer the following:

- I. How does ABC Electronics ensure the selection of high-quality vendors during the sourcing process?
- II. Describe the role of the Purchase Requisition (PR) and Purchase Order (PO) in ABC Electronics' P2P process.
- III. Why is vendor performance evaluation important, and what key performance indicators (KPIs) does ABC Electronics use to assess vendor performance?
- IV. Draw the format for PR & PO.